

1.6 What Friends & Reports Says

The last 2 methods that we will discuss for generating investment ideas are **Peer Recommendations** and **Brokerage Reports**

Peer Recommendations

Rather than having a large group of people to discuss stocks, consider a closed group of 3-4 people to discuss stocks with. Have a group where you know the research and investment style of individuals and you know that they research in-depth and do not recommend without conducting their own research.

"Cello is very promising"

"I've already invested in it"



ASK QUESTIONS:

Have they done basic research on the company?

Do they have the basic research on the company?

Have they assessed the company reports, or seen company interviews?

How much debt does the company have?

What are the company sales?

Do they have sales growth?

Assuming, your peers have done their basic research before recommending. Now it is something you can work on, but if they just blindly forwarded it, be wary, ignore it, and take any judgement from that person. Always ask, how did they get that idea? If they have a logical answer, great. If they have a logical answer, great. If they say- they heard it somewhere, saw it on CNBC. XYZ is buying, ignore the idea.